The impact of social media engagement on consumers' trust and purchase intention

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Abstract: This study aims to investigate the effect of social media usage among different segments of customers on their level of trust in the advertising campaign and their purchase intention. The paper took a deductive approach by reviewing past literature about the effects of social media on consumers and in particular on customer purchase intention to design a construct for evaluating the relationship between the variables. The findings indicate that engagement on social media varies for different segments of customers. This includes the engagement to acquire discounts and promotions for price-sensitive customers, following upmarket brands for high-end customers; it is also used to follow brands that the customer is already a patron of in brand loyal segment. An additional category was designed for the fashion seeking customers, namely, engaging on social media to follow new trends and celebrities. In all categories, engagement on social media positively impacts the level of trust and purchase intention among customers. This study differs from past research by classifying customers and their social media usage and examining these factors in relation to trust and purchase intention. Hence, the results can assist managers in planning advertising campaigns based on their overall strategy.

Keywords: social media usage; consumer trust; purchase intention; advertising campaign; online marketing; Republic of Georgia.

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1 Introduction

Marketing products and services online have evolved to become one of the main routes for companies to connect with their target market. These products and services cover a broad range of tools from search engine optimisation and pay-per-click to pop up advertisements and native advertising. Among all these platforms, social media marketing presents an excellent opportunity for firms to establish a two-way communication channel with customers.

This type of e-marketing can be employed for a variety of communication plans. Dahnil et al. (2014) analysed the messages businesses try to convey to customers through social media. They specified that establishing social media channels for firms is typically a top-down approach from management. However, the direction the firm take to pivot and adapt to market requirements is a bottom-up approach, driven by employees and customer feedback through these channels.

Erdogmus and Cicek (2012) found some of the advantages of social media marketing for companies. They recognised that customer loyalty to a brand increases when the brand is established on different social media platforms and updates its channels regularly. Another advantage they discovered was the rise in brand loyalty among customers whose friends on social media follow and like the brand.

Unsurprisingly, the aptitude of social media to create a two-way communication channel between firms and the customers plays a crucial role in its rise. Kumar and Mirchandani (2012) and Balakrishnan et al. (2014) emphasised the element of 'e-word-of-mouth' in social media marketing and its influence on customer purchase intention and brand loyalty.

Meanwhile, Constantinides (2014) and Agmeka et al. (2019) detailed the benefits of social media over other types of marketing. They list the low cost of social media advertising, the simultaneous ability of social media to be a personal marketing and

public relations tool, as well as a means for announcing promotions. This flexible nature provides firms with a powerful apparatus for implementing their marketing plan.

The advantage of social media marketing over traditional forms of advertisement and marketing is that it creates a package of different means to target diverse aspects of marketing plan. Tiago and Verissimo (2014) pointed out that the ability of firms to create a feedback loop on social media results in better decision-making processes, quantifying outcomes of firms' strategies more accurately, elevating productivity and creating a more user-friendly atmosphere for customers to voice their comments.

Furthermore, companies tend to utilise social media to increase their market share and establish new businesses. Kim and Ko (2012) stressed the role of social media on creating value and relationship equity for luxury brands. For this type of customer usually brands with medium to high levels of involvement, and therefore brand equity and loyalty, take a more centre stage in purchase intention.

Thus, the importance of social media in today's marketing environment is undeniable. Companies attempt to communicate with the market through more channels and diversify their reach on internet platforms. Firms endeavour to raise their profile in the market and create brand awareness and loyalty. Even though almost all established companies and start-ups are utilising social media, the main activities of companies on these platforms focus on casting more attention onto their medium to high-level involvement products while competing on price and relationship building with consumers.

2 Literature review

Today, marketing communication has developed into a more comprehensive system due to complexities and opportunities which social media presents in that area. For companies and organisations that seek to carry out their marketing on social media, finding a balance is an essential factor. Hays et al. (2013) explained how countries and organisations need to find that balance in different areas of their e-marketing. As an example, finding their target market on social media and balancing this against the volume of communication; ensuring the updates, they issue, are not so frequent as to deter consumers from engaging and not too sparse that they discourage customers from taking the channel seriously.

Finding the proper target market and directing an appropriate marketing campaign toward them is clearly an important factor in developing and growing the social media presence of companies. Hence, it is crucial to understand the effects of social media on each segment of customers.

2.1 Discount and promotion seeking social media users

Noticeably, one of the main attributes of social media marketing is the lower costs that it entails. Since advertisements and marketing campaigns on traditional outlets, such as television, cost more, and time is limited, social media is slowly replacing them in different ways. Kang and Park (2018) explained how the cost-saving opportunities that social media marketing presents, over traditional marketing campaigns, could keep the costs of the company down and increase the return on investments. This cost-cutting measure can assist firms in lowering prices if they are competing in a price-sensitive market.

In addition, the lower costs of maintaining and updating social media channels of companies, compared to traditional outlets, can be utilised as a part of broader low-cost marketing campaigns. Jährig et al. (2017) discussed applications of social media as parts of broader campaigns and determined that effective use of social media can be found in guerrilla marketing. Not only can it be employed for spreading videos and pictures online, but it acts as a catalyst for the spread of other guerrilla marketing techniques to a broader audience.

Furthermore, brands leverage social media channels to convey a sense of exclusivity to their respective target markets target market. This characteristic can be utilised in two ways, one is for customers who seek high-quality products and a more elite brand, the second is for price-sensitive segment of the market. Ashley and Tuten (2015) and Ramanathan et al. (2017) discussed the tools for appealing to customers using online advertising through exclusivity and creativity in social media campaigns. Apart from high-end customers, firms can use promotions and discounts to sway price-sensitive customers to their social media channels. If those promotions are timed appropriately, companies can expand their customer-base and maintain the price-sensitive part of the market throughout the year.

Meanwhile, Chen et al. (2011) broke down the effect of price on social media activities, based on different stages of the brand and product life cycle. They determined a U-shaped relationship between price and customer ratings. It shows customers' rating (e.g., number of stars in a five star rating system) on company's posts and updates, increases when the price is at discount level. The ratings then go down for prices in the middle of the price range. Finally, the ratings once again rise for luxury products with high prices. It shows how low prices are considered of high value for price-sensitive target, whereas high prices increase ratings once more due to high ratings from quality seekers.

2.2 Quality and luxury-seeking social media users

Enhancing brand image and prestige is a further feature of social media marketing which companies pursue. Ahmad et al. (2019) propose that high-end brands can use social media to communicate their product though endorsements by celebrities and public figures which is aimed at heightening the customer perception of brand image and quality.

Naturally, building a brand and elevating customer perception towards it is a priority in high-end products and services. Javaid et al. (2017) detailed the steps that companies take to achieve this goal. They indicated that firms use social media for brand awareness and building a character for the brand. The next step is to differentiate the brand from competitors, and social media outlets present a viable opportunity to carry out all those steps on their platforms.

Additional facets, listed by Godey et al. (2016), for a successful social media campaign to create brand loyalty, are trendiness and customisations. These aspects are more pertinent to luxury brands; since, in the high-end market, customers are more concerned with new trends. As customers, they demand more and require brands to be flexible; hence, companies should offer product adjustments and customisation online to meet those demands.

Apart from aligning the brand with current trends to attract high-end customers, companies can set new trends and attract that segment of the market through social media

campaigns. Dwivedi et al. (2015) explained while companies develop broader trends such as sustainability and environmentally friendly operations, sought by firms in every industry. They may also pursue industry specific goals and transmit their broader and narrower targets through their social media channels.

Moreover, in the case of high-quality brands, companies need to construct a more comprehensive framework to satisfy customer needs. Felix et al. (2017) pointed out that those brands need to take an 'explorer' approach, rather than defender approach, to be more responsive to customers and commit to after-sale services to maintain their target market. Thus, two-way communication is necessary to understand the demands of the target market in that area.

At another level, social media assists companies in enhancing their exclusivity through post-purchase services. Assaad and Gómez (2011) argued that social media enables firms to utilise instant messages and comments to communicate customers' concerns in a personal and low-cost manner. Consequently, customers purchasing premium products can avoid post-purchase dissonance through swift communication with the supplier. Firms need to focus on responses and provide appropriate feedback and personalised messages to establish a level of exclusivity through their social media channels.

2.3 Social media users following only a few brands

One of the most important reasons why the companies establish their social media channels is for relationship building. A proper communication channel between a firm and its customers on social media can increase brand equity and loyalty. Zhu and Chen (2015) suggest that companies should model their social media channel based on their target market. Therefore, a clothing and accessories retailer should create an entirely different environment on their social media channel to a technology firm, in order to attract and maintain their customer-base.

Another way for companies to build their relationship with customers on social media is by two-way interactions. Brands, according to Barger and Labrecque (2013) and Bento et al. (2018), can post events, competitions and games on their social media platforms to engage their audience and increase their participation in the company's activities. The more customers are engaged in those activities with the firm, and with other customers of the firm, the more likely the company is to secure their loyalty and positive purchase intention.

Today, customer relationship management, as a whole, is influenced by the use of social media. Its significance is becoming so vital that the term social CRM has grown to be a significant part of the firm's communication strategy. Wang and Kim (2017) demonstrated how social media paved the way for creative and social customers who are engaged with the firm to actively shape firm's offerings by recommendations and criticisms. For this type of active customer, brand loyalty can be achieved conveniently and effectively since they consider themselves as a part of the process.

Furthermore, according to Nakara et al. (2012), a central characteristic of social media, which applies to all different types of customers, is the process of booking and presales. On the one hand, it engages customers who are loyal to the brand before the product launch and presents an exclusivity and trendiness value for high-end customers. Simultaneously, it enables the firm to offer its products at a lower price since customers

are paying in advance. Moreover, it can increase the frequency of purchases in two segments of brand loyal and high-end customers; since, they are more concerned with receiving the brand's latest product before it is offered to the public, rather than finding the same product from other brands with lower prices.

Unlike traditional forms of advertisement, the response rate of social media advertisements can be quantified far more accurately. Schultz (2017) proposed how feedback, in the form of messages and comments to a company's channel and the number of visitors and clicks on firm's advertisements and updates can be measured very precisely. This capability presents an opportunity for the company to test both their loyal and new customer's responses. As a result, loyal customers visit brand's social media platforms and websites to purchase their products more often.

Ceyhan (2019) summarised the effects of social media on customers. They determined that companies with a following on social media have higher customer loyalty and purchase intention, while generating more positive word-of-mouth and a higher perception quality. It highlights the importance of these channels on customers in general, and more specifically, in the level of trust in the brand-loyal consumer segment.

2.4 Trend and fashion seeking social media users (adopters)

This type of consumer is not acting purely on price, quality or brand loyalty. They are more likely to follow a series of recommendations received from other categories of consumers. For instance, Chang et al. (2015) and Yadav and Rahman (2017) found that a segment of social media users perceived the advertisements with more likes and shares as more trustworthy and reliable. Therefore, for this group, e-word-of-mouth and generating an online buzz is a more effective path to get the message across.

Detailing consumer behaviour, Vries et al. (2012) described the direct relationship between the popularity of the social media channel and consumer behaviour. They recognised that as the number of comments on brands' social media channel increases, it has an impact on both positive and negative comments. This shows how the growth in the number of comments and the popularity of a social media channel attracts more people to participate and create a snowball effect. In a more detailed analysis, Rauschnabel et al. (2012) indicated that brands can receive more likes and engagement from social media users when they post updates inviting customer to respond by comments or likes using pictures or videos in addition to written messages. It can push the brand's message out and create an online buzz from e-word-of-mouth simultaneously with relative low costs for the company.

In continuation of Vries et al.'s (2012) study, Sajid (2016) and Celli et al. (2017) illustrated how social media advertising is a lower cost prolongation of viral marketing, given that customers can spread messages and add to the company's marketing efforts. Since adopters are the ones who are concerned with the popularity of messages, they are more likely to engage, with viral marketing efforts, via the concept of Web 2.0, which social media actualises, that in turn leads to higher purchase intention among this segment.

In order to attract more adopters, firms need to make their marketing efforts visible and more engaging. Bhattacharya et al. (2019) discussed how the expansion of the internet and social media is making more and more information available, while it also makes it more complicated to find the exact data that one is seeking. Thus, viral marketing and availability can play an essential part in attracting adopters.

Another characteristic of the adopter is their flexibility in the decision-making process. According to Stephen (2016), customers may exhibit different personalities on different channels since social interaction norms do not bind them, due to anonymity that the internet provides. Additionally, ratings and reviews on social media positively impact consumer choices in hedonic products and services. Consequently, companies can target this segment of customers from different angles as they adopt different characteristics depending on company's sector and social media channel.

The rate of adoption varies due to other variables in customer behaviour. Vinerean et al. (2013) indicated that log in pattern and privacy concerns affect the reaction to online advertisements in consumers. People who log in more frequently to social media websites and applications are more likely to find advertisements on those platforms trustworthy. In contrast, people who are concerned about their privacy do not log in as frequently and do not react to those advertisements as positively. Hence, one of the goals of the firm should be to engage adopters and encourage them to come back to company's social media channel as often as possible.

2.5 Companies and social media

In a rapidly changing environment nowadays, firms always seek to find a balance and adapt, as quickly as possible, to these changes in the market. Kaplan and Haenlein (2011) categorised viral marketing campaigns of companies into four groups and evaluated their impact on customers. The categories with positive impacts consisted of 'stroke of luck' which is not wholly planned, as can be observed in the Coca Cola and Mentos experiment. 'Triumphs' which are those with creative concepts attracting big crowds such as Burger King's 'whopper sacrifice'. Those with negative impacts include, 'Nightmares', which stems from the inability of the company to respond in time to public relations issues, as was the case of JetBlue delays, and 'homemade issues' which are marketing campaigns gone wrong as with the prominent example of Sony's PSP Christmas blog. These demonstrate the significance of marketing plan, customer segmentation and execution in those plans.

Moreover, firms should be aware of the need to keep a balance in their social media presence. Customers who seek the brand and subscribe to the company's social media channels are more likely to check their updates and products. Although, Zhang and Mao (2016) explained, that customers find it irritating and distracting when firms push their advertisements to customers' channels when they are not actively searching for the brand.

Finally, the number of social media platforms and their influence has increased dramatically in the last two decade. Nevertheless, many companies are failing to utilise these outlets to an optimal level. Hanna et al. (2011) suggested a path toward enhancing different channels for better communication. They identified different outlets and their characteristics, for instance, Facebook possess different advantages than the strengths YouTube hold for video sharing, or Twitter for compact announcements. They advocated for integrating all these outlets to project a comprehensive message. Firms should take all the feedback from all these outlets and adapt their messaging across the board. Quick responses, fixing communication issues from one outlet and recognising these solutions across all outlets, creating consistency across channels, can boost the marketing efforts of the firm and expand its customer-base.

In the Georgian market, characteristics of the social media advertising campaign are roughly the same as in other countries, However, Khoshtaria and Matin (2019) discovered how Georgian customers prioritise web-rooming over show-rooming in some areas due to hedonistic and utilitarian motivations. The study demonstrated the effect of price and discounts on Georgian customers' decision-making process.

Therefore, managers can utilise the advantage of physical inspections of products by customers in offline stores; simultaneously, employing the broad use of social media in the country by the younger generation; since, the majority of social media users in Georgia are under 40 years old, advertising campaigns focusing on discount and promotions, while appealing to the trend seeking customer segment, can be of great benefit for companies.

3 Research methodology

In the previous sections, we reviewed past studies on social media and its impact on different aspects of consumer behaviour. We designed this study as quantitative research to measures the reaction of different customer segments to social media marketing campaigns.

Customers are grouped into categories as price-sensitive, high-end (concerned with quality), brand loyals (customers who prefer to go back to the brands they already know) and adopters (customers who are influenced by word-of-mouth and popularity of products more than any of other groups already mentioned).

The aim of this model is to measure their response to social media advertisements, and marketing, and test purchasing patterns for each segment of social media users. The variables in this paper are a combination of models presented in past studies to shape a new model.

3.1 Research questions and objectives

As discussed, this study attempts to find the relationship between different types of social media usage and its impact on the level of trust and purchase intention among customers. Research questions are designed in line with the goal of this study to analyse each type of social media usage separately, in order to measure these relationships more precisely. Therefore, this study is determined to answer the following main research question:

- Does engagement in social media affect the level of trust and purchasing intention among Georgian consumers?

In line with each hypothetical relationship, we designed additional sub-questions:

- What is the impact of social media usage on the level of trust and purchase intention among the different segments of customers?
- What is the impact of social media engagement with a company among customers' with a focus on discounts and promotions on the level of purchase intention?
- What is the impact of social media engagement with a company among customers' with a focus on high-quality and luxury brands on their level of trust in the advertising campaign and purchase intention?

- What is the effect of social media engagement among customers' with a focus on following the brands that the customer is already shopping from on the level of trust in the advertising campaign and purchase intention?
- What is the impact of social media engagement with a company among customers' with a focus on following the trends and fashion on the level of trust in the advertising campaign and purchase intention?

In order to answer the research question(s), we formulated the following research objectives to discover the relationships between social media engagement and:

- To discover the relationship between different types of social media engagements and level of trust in the advertising campaign and purchase intention.
- To find the level of purchase intention among customers seeking discounts and promotions on social media.
- To evaluate the relationship between engagements on social media to follow high-end luxury brands on the level of trust and purchase intention.
- To measure the level of trust in the advertising campaign and purchase intention among customers who are following the brands that they already shop from on social media.
- To analyse the level of trust in the advertising campaign and purchase intention among customers who are following new trends and fashion on social media.

3.2 Hypotheses formulation for this study

In this research, the relationship between social media usage, trust and purchase intention is measured. Hypotheses in this study theorise a linear relationship between the manner in which consumers engage on social media and their trust in the marketing campaign and on their purchase intention:

H1 Engagement on social media to acquire discounts and promotions positively relates to the level of purchase intention.

H2a Engagement on social media to follow high-quality and luxury brands positively relates to the level of trust in the advertising campaign.

H2b Engagement on social media to follow high-quality and luxury brands positively relates to the level of purchase intention.

H3a Engagement on social media to follow brands that the consumer already shops from positively relates to the level of trust in the advertising campaign.

H3b Engagement on social media to follow brands that the consumer already shops from positively relates to the level of purchase intention.

H4a Engagement on social media to follow new trends and fashion positively relates to the level of trust in the advertising campaign.

H4b Engagement on social media to follow new trends and fashion positively relates to the level of purchase intention.

3.3 Research construct

As mentioned, this study adopts a quantitative approach to measure the correlation between how consumers use social media to their trust and purchasing pattern. In this research, social media users are categorised into four segments. These segments are promotion and discount seeking users, quality and luxury seeking subscribers, brand loyal users who follow only a few brands and adopters who are fashion and trend seeking social media users.

Table 1 Research construct

Variables	*Past studies*
Promotions and discount social media users	Chen et al. (2011), Vinerean et al. (2013), Balakrishnan et al. (2014), Kang and Park (2018)
Quality and luxury seeking social media users	Kim and Ko (2012), Chang et al. (2015), Godey et al. (2016), Wang and Kim (2017), Javaid et al. (2017), Ahmad et al. (2019)
Brand loyal social media users	Erdogmus and Cicek (2012), Balakrishnan et al. (2014), Chang et al. (2015), Bento et al. (2018)
Fashion and trend seeking social media users	Balakrishnan et al. (2014), Zhu and Chen (2015), Stephen (2016), Bhattacharya et al. (2019)
Trust	Habibi et al. (2014), Hajli (2014), Yadav and Rahman (2017)
Purchase intention	Kim and Ko (2010), Chaiyasoonthorn and Suksa-ngiam (2011), Celli et al. (2017), Ceyhan (2019)

3.4 Sampling and sample description for this study

The method of selecting respondents was a type of non-probability sampling. Firstly, the customers are the residents of Tbilisi, the capital of Georgia, since it has the highest share of internet users in the country. According to Geostat (2019), more than 88% of the population in the capital have access to the internet, which makes it convenient for assessing their attitude toward social media platforms.

Additionally, nearly 96% of the population aged 15 to 29 surveyed indicated they use internet every day or almost every day. It is the highest share of internet usage in any age range in the country. More than 32% of the same group has purchased products and services online, compared to just 17.3% of 30 to 59-year-olds and 6.5% of those aged 60 years and older.

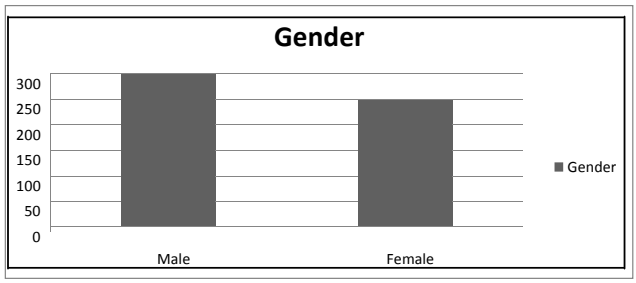
As a result, our respondents are people living in Tbilisi within the age range of 15 to 29 and with access to the internet. This sample can present an accurate understanding of social media use and responses to marketing campaigns online. To be in line with the aforementioned demographic group, a targeted convenience sampling was selected by asking students of five universities in Tbilisi to respond to the questionnaire.

The sample size of this research is designed to be in line with past studies carried out on social media usage and purchase intention. The past papers gathered data with different sample sizes. These include:

- smaller sample sizes starting from 237 by Hajli (2014)
- a mid-range of 424 responses obtained by Chaiyasoonthorn and Suksa-ngiam (2011)
- at the upper level, 569 responses collected by Habibi et al. (2014).

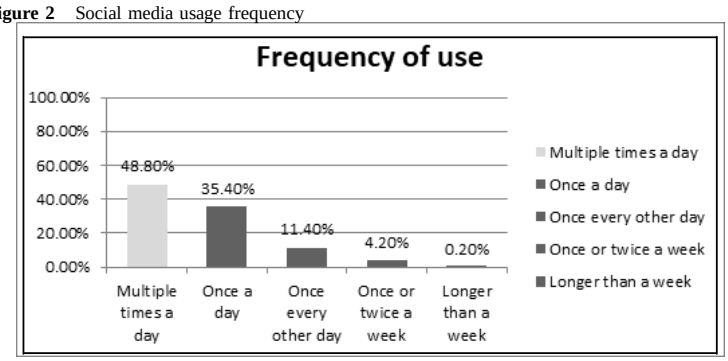
For this study, total of 750 emails were sent, which resulted in 553 responses. As illustrated in Figure 1, 301 respondents were male and 252 were female.

Figure 1 Gender distribution of respondents



Frequency of social media usage among respondents was divided into groups ranging from high frequency, where respondents were logging into social media platforms multiple times a day, this represented 48.8% of respondents and low frequency where respondents would log in at intervals longer than a week (0.2%).

Figure 2 Social media usage frequency



3.5 Survey method

As previously mentioned, we attempted to measure the responses of different segments of customers to social media campaigns. Chosen variables were collected and combined from past studies, and therefore, a deductive approach is taken to the development of the model for this paper.

A questionnaire was distributed among our target samples using a five level Likert scale; since, the aim of the paper is to study the attitudes of customers. Questions were designed in six categories for each variable in the model.

3.6 Reliability of measures

To confirm the reliability of the measures in the study, Cronbach's alpha is used and is compared to the previous papers. Generally, the variables with a Cronbach's alpha of 0.7 are considered reliable, according to Chaiyasoonthorn and Suksa-ngiam (2011), Habibi et al. (2014) and Khoshtaria (2016). Here are the reliabilities of measures for this study compared to the requires 0.7 level (Table 2).

Table 2 Cronbach's alpha values of the construct

Constructs	*Cronbach's alpha of our study*
Discount and promotion seeking social media users	•.906
High-quality and luxury seeking social media users	•.896
Brand loyal social media users	•.893
Trend and fashion seeking social media users	•.895
Trust	•.896
Purchase intention	•.890

4 Data analysis and findings

As we can observe from the displayed hypotheses, there is one stand-alone and three sets of hypothetical relationships to be checked. First, H1 checks the relationship between engagement on social media in order to acquire discounts and promotions against the level of purchase intention. Second, H2a and H2b evaluate engagement on social media to follow high-quality and luxury brands, H3a and H3b checks consumer loyalty (engagement on social media to follow the brands that customer already shops from). H4a and H4b measure the relationship between customers we classified as adopters (engagement on social media to follow new trends and fashion set by public and celebrities) against trust in the advertising campaign and level of purchase intention.

As it can be observed from Table 3, there is a significant positive relationship between all variables.

Table 3 Overall correlation analysis of all variables

	DISC	*QUAL*	*LOYAL*	*ADOPT*	*TRUST*	*PURCH*
DISC	1	.978**	.980**	.982**	.982**	.983**
QUAL	.978**	1	.982**	.975**	.981**	.977**
LOYAL	.980**	.982**	1	.978**	.983**	.982**
ADOPT	.982**	.975**	.978**	1	.981**	.980**
TRUST	.982**	.981**	.983**	.981**	1	.982**
PURCH	.983**	.977**	.982**	.980**	.982**	1

Note: **Correlation is significant at the 0.01 level (2-tailed).

To test Hypothesis H1, we used bivariate linear regression analysis (see Table 4).

The correlation analysis for the variables of Hypothesis H1 shows significant positive correlation at .983. As to the regression analysis, we can see from Table 4, F-criteria are

very high, and significance is less than .005. From Table 4, we can observe, that R square for the dependent variable, which measures the change in the dependent variable (level of purchase intention) caused by the change in the independent variable (discounts and promotions) is significantly high at 0.967. This means that discounts and promotions are responsible for 96.7% of the variability in the level of purchase intention.

Table 4 Model summary for bivariate linear regression analysis between discounts and promotions and the level purchase intention

Model	*Dependent*	*R square*	*F*	*Beta*	*T*	*Sig.*
Discounts and promotions (independent)	Level of purchase intention	.967	15,967.526	.983	6.353 126.363	.000

Note: Dependent variable: level of purchase intention.

To test Hypotheses H2a and H2b, we used the same analytical technique of bivariate linear regression alongside the correlations analysis (see Table 5).

Table 5 Model summary for bivariate linear regression analysis between high-quality and luxury brands, trust in advertisements and the level of purchase intention

Model	*Dependent*	*R square*	*F*	*Beta*	*t*	*Sig.*
High-quality and luxury brands (independent)	Trust in advertisements	.963	14,411.745	.981	5.869 120.049	.000
	Level purchase intention	.954	11,459.665	.977	5.029 107.050	.000

Note: Dependent variable: trust in advertisements/level purchase intention.

In the model, as can be seen by the regression and correlation models presented in Tables 1 and 3, we can judge that the model is statistically significant. The change in independent variables is explained by dependent variability at a mark of 96.3% and 95.4%. It can be concluded from the high level in R square that engagement on social media to subscribe and follow high-quality and luxury brands positively increases trust and the level of purchase intention in that category of customers.

We used the same analytical approach to the rest of the hypotheses (please see Tables 6 and 7.

Table 6 illustrates another relationship highlighted in the hypotheses section. Here, it can be observed that the F value is high, and significance is lower than .005, which confirms the impact of the independent variable on the dependent in our model. R square for trust and purchase intention stands at .967 and .965, respectively, which indicates the impact of social media engagement for loyal customers on trust and purchase intention is 96.7% and 96.5%, respectively. Therefore, it confirms our Hypotheses H3a and H3b, which theorised about the positive impact of engagement on social media where customers already shop with particular brands on their trust in advertising campaign and purchase intention.

Table 7 indicates the relationships discussed in H4a and H4b. Once again, the F value is high while the significance is less than .005. R square for trust and purchase intention stands at .962 and .961, which explain 96.2% and 96.1% of the variability in the dependent variables, due to changes in the independent variable. Hence, we can conclude that engagement on social media to follow new trends and fashion set by public and

celebrities (the segment of customers we call adopters in this study) positively impacts the level of trust in the advertising campaign and purchase intention of that category of customers.

Table 6 Model summary for bivariate linear regression analysis between loyal consumers, trust in advertisements and the level of purchase intention

Model	*Dependent*	*R square*	*F*	*Beta*	*t*	*Sig.*
Loyal consumers (independent)	Trust in advertisements	.967	16,131.224	.983	5.387 127.009	.000
	Level purchase intention	.965	15,281.257	.982	4.532 123.617	.000

Note: Dependent variable: trust in advertisements/level purchase intention.

Table 7 Model summary for bivariate linear regression analysis between new trend adoption, trust in advertisements and the level of purchase intention

Model	*Dependent*	*R square*	*F*	*Beta*	*t*	*Sig.*
Adopters (independent)	Trust in advertisements	.962	13,920.740	.981	4.951 117.986	.000
	Level purchase intention	.961	13,446.426	.980	4.170 115.959	.000

Note: Dependent variable: trust in advertisements/level purchase intention.

5 Discussion

The role of social media in today's marketing is becoming one of the most prominent pillars of communication. Companies utilise their social media channels to communicate with customers and get feedback for advancing their operations. Depending on the brand and corporate identity, firms are required to roll out different advertising campaigns to attract and retain their customer-base, and therefore, social media advertising should not be an exemption.

This research highlights the role of social media and how it impacts the level of trust and purchase intention among customers. Engagement on social media is divided into four categories of consumers. The results show customers, engaging on social media to acquire discounts and promotions, exhibit a higher level of purchase intention. Logically, price-sensitive customers prioritise discounts in their decision-making process. Therefore, this segment of social media users tends to purchase products or services which offer lower prices in general and specifically on social media in Georgia.

Another segment of customers engages in social media to follow high-quality and luxury brands. Naturally, this segment is more concerned with the quality of the products and services and rely more on the brand equity of the company. Our study of Georgian customers revealed that their level of trust in the advertising campaign and their purchase intention increase as they follow or subscribe to the social media channels of high-end brands.

Unsurprisingly, the main element in elevating the level of trust among this segment of customers is brand equity. However, communication also plays a vital role in this group

of consumers since they perceive high-quality brands as more responsive to feedback and customers' enquiries on their social media channels.

The segment of customers engaging on social media to follow new trends and fashion, called adopters in this study, also exhibited a higher level of trust and purchase intention. The level of trust and purchase intention in this segment of customers is more impacted by what is considered trendy. They are more concerned with what their friends shared, or liked, on social media, and resonate with celebrity endorsements and social media influencers. Thus, they tend to trust advertisements and purchase the products and services that are shared by one of the aforementioned groups.

Lastly, the level of trust and purchase intention in brand-loyal customers increases when engaging on social media to follow those brands. The reason for the impact on trust and purchase intention can have hedonistic roots. Since this segment of customers are already loyal to the brand and the two-way communication platform, which social media platform provides, can act as reassurance to elevate their level of trust.

However, there is a utilitarian reason behind the positive impact of engagement on social media the customer follows brands with whom they already shop and their level of purchase intention. Customers in this segment can find new updates and get trials and promotions from their favourite brands since they are subscribed to their social media channels. Hence, they tend to purchase more products or services from those brands that they are already familiar with.

6 Theoretical and practical implications

This study analyses the role of social media advertising on the level of trust and purchase intention in four customer segments. It confirms some of the findings of the past literature focussed on this area, which indicates the importance of communication through social media on the level of trust consumers hold.

However, it takes a new approach by grouping social media users into different categories based on the manner in which they subscribe and follow brands and advertisements on these platforms. The results present a new model for targeting marketing communication through social media to particular user groups.

It provides a road map for further studies in this area. Researchers can build further on this model to explore each customer category and the reason behind the relationship between their social media usage and trust and purchase intention.

One of the main theoretical values of the paper is the market it focuses on. There are a lack of studies on customer behaviour and decision-making processes in the Georgian market. For this study, models from other research in the literature review were combined and then tested for Georgian customers. Therefore, it reveals the social media engagement, level of trust and purchase intention among Georgian consumers.

Marketing communication approaches can vary from firm to firm depending on their strategic planning and corporate identity. This identity can define the customer-base that the company is seeking. Therefore, the approach the company takes on social media to communicate to customers' needs to be tailored to the manner in which that segment of customers engages on social media.

The research construct is a combination of different models presented in previous papers and then linked them to different groups of customers to paint a more detailed picture of advertising campaigns and consumers' responses.

This detailed view can assist managers in linking the theoretical aspects of online marketing communication with their customer-base. Whether the firm is attempting to attract a price-sensitive or high-end quality seeking customer segment, it can utilise the model to achieve a higher level of trust and purchase intention among its consumers.

Furthermore, the model appends an additional category of social media users (adopters), where a large part of their decision-making process is dependent upon the latest trends on social media. Hence, utilising the model, managers can reach that part of consumers by buzz marketing and electronic word-of-mouth (e-WOM). These viral marketing techniques can be employed to elevate the level of trust in other categories of customers in the model. Although, the most significant impact of these techniques can be seen in the adopters category.

In summary, today, social media represents one of the main tools of communication between firms and their customers. Depending on the firm's strategy and identity, the communication approach needs to be designed and appropriated. Nonetheless, the results of this research confirmed the positive impact of social media engagement for each category on the level of trust and purchase intention.

7 Research limitations

The main limitation of this study is in sampling and population of the target market. The respondents are mainly residents of Tbilisi, and other urban or rural areas are not included in data analysis. Additionally, the population of social media users in Georgia is clustered in a specific age range dominated by younger users, and the target market is not as broad as it is in other countries around the world. Economic conditions can play another role in data collection, as many countries around the world are grappling with the possibility of a worldwide recession, purchase intention can be reduced dramatically due to wage cuts, and demand may shift towards essential products rather than high-end brands.

8 Recommendations for future studies

As it was mentioned in the previous section, we recommend further data collection on purchase intention as the world economy changes. The majority of responses for this study were collected before the corona-virus outbreak reached Europe. Therefore, purchase intention through social media, as well as other tools of advertisement, may change in the coming years. Hence, it is worthwhile to evaluate the changes in purchase intention among customers if the world enters a recessionary period.

We also suggest a more broad approach to the Georgian market. Future studies can target rural areas in Georgia and evaluate their purchase intention. The primary motivation for people in rural areas in their decision-making process may vary from respondents in the capital. Thus, a study, which can measure customer behaviour in other parts of the country, can reveal other motives in Georgian customers.

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